

National Income & Gross Domestic Product

1. Which of the following is not a method to calculate the Gross Domestic Product (GDP)?

- (a) Product method
- (b) Diminishing cost method
- (c) Income method
- (d) Expenditure method
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (b)

The 3 methods which are used for calculating the Gross Domestic Product (GDP) are as follows :

- 1. Product method
- 2. Income method
- 3. Expenditure method

The diminishing cost method is not used to calculate the GDP.

2. Which one does not come under economic infrastructure?

- (a) roads
- (b) railway
- (c) education for health
- (d) energy

39th B.P.S.C. (Pre) 1994

Ans. (c)

There are two types of infrastructure -

- (i) Physical infrastructure and
- (ii) Social infrastructure. Under physical economic infrastructure – roads, electricity, energy, water and air transport, telecommunication etc. come. Social infrastructure includes health, education, insurance, housing, etc., which are related to the development of human skills. Infrastructure is called so because it has a basic (without which development is not possible) role in the development of the economy.

3. Hindu growth rate is related to :

- (a) Money
- (b) GDP
- (c) Population
- (d) GNP
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (b)

The term Hindu rate of growth was used for the first time by Prof. Raj Krishna in the year 1981 while speaking at the American Economic Association. According to him the Hindu tradition which is not favourable to development or which do not promote development is the major cause of the slow growth rate of National Income/GDP in India, which stagnated around 3.5% from 1950s to 1980s. Hence, it is clear that Hindu rate of growth mentioned by Prof. Raj Krishna is related to National Income/GDP.

4. What is money?

- (a) Income
- (b) Commodity
- (c) Wealth
- (d) Savings
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

Money, a commodity accepted by general consent as a medium of economic exchange. It is a medium in which prices and values are expressed as currency.

5. The economist who for the first time scientifically determined National Income in India :

- (a) D.R. Gadgil
- (b) V.K.R.V. Rao
- (c) Manmohan Singh
- (d) Y.V. Alagh
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

The first attempt to calculate National Income of India was made by Dadabhai Naoroji in 1867-68, while for the first time National Income of India was scientifically determined by Dr. V.K.R.V. Rao in 1931-32.

6. Who was the remarkable person who took the action for calculating the national income of India before Independence?

- (a) Jawaharlal Nehru
- (b) Mahatma Gandhi
- (c) Dadabhai Naoroji
- (d) Surendranath Banerjee

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (c)

Dadabhai Naoroji was a remarkable person who took action for calculating the national income of India before independence. However, the first scientific approach to calculate the national income of India was used by Professor V.K.R.V. Rao for the first time in 1931-32

7. Which of the following offices or institutes releases data of the National Income in India?

- (a) NSSO
- (b) NITI Aayog
- (c) CSO
- (d) Prime Minister's Office
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (e)

In India, the estimates of National Income were prepared and released by the erstwhile Central Statistical Office (CSO) which was established in 1951 as the Central Statistical Organization. At present, data of the National Income in India is estimated and released by the National Statistical Office (NSO), which was formed with the merger of the Central Statistical Office (CSO) and the National Sample Survey Office (NSSO) in 2019.

8. Which organization carries out the survey for determining the poverty line?

- (a) RBI
- (b) NSSO
- (c) NITI Aayog
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

The National Sample Survey Office (NSSO) is responsible for conduct a large scale sample surveys in diverse fields on All India basis. Primarily data are collected through nationwide household surveys on various socio-economic subjects, annual surveys of industries etc. It also carries but the survey for determining the poverty line.

9. Which ministry is responsible for calculating GDP of India?

- (a) The Ministry of Commerce and Industry
- (b) The Ministry of Finance
- (c) The Ministry of Consumer Affairs
- (d) The Ministry of Central Statistical and Program Implementation
- (e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (d)

In India, the Central Statistics Office (CSO), which is a part of the Ministry of Statistics and Programme Implementation (MoSPI), is primarily responsible for Calculating the Gross Domestic Product (GDP) of the Country. The CSO collects, compiles, and releases GDP estimates on a quarterly and annual basis.

10. By whom the estimation of national income figures in India is done?

- (a) Planning Commission
- (b) Reserve Bank of India

- (c) Ministry of Finance
- (d) Central Statistical Organization

47th B.P.S.C. (Pre) 2005

44th B.P.S.C. (Pre) 2000

40th B.P.S.C. (Pre) 1995

45th B.P.S.C. (Pre) 2001-02

Ans. (d)

Explanation-

National income figures in India are estimated by the National Statistical Office (NSO) [formerly the 'Central Statistics Organization (CSO)']. NSO publishes national income data annually under the name "**National Account Statistics**". At present the base year of national income is 2011-12.

11. In which year the rate of growth of India's Per Capita Income at constant prices was the highest during the period 1951-52 to 2015-16?

- (a) 2015-16
- (b) 2010-11
- (c) 2007-08
- (d) 2014-15
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

As per the question period and 2004-05 series, option (c) was the correct answer. As per Economic Survey 2020-21, in the period from 1951-52 to 2020-21, the maximum growth rate of Per Capita Income (Per Capita NNI) at constant prices (2004-05 series) in India was recorded in the year 2007-08. In that year growth rate of 8.6% was recorded in Per Capita Income of India. After that maximum Per Capita Income growth rates at constant prices were obtained in the year 2010-11 (8.3%), 2006-07 (7.6%) and 2005-06 (7.5%). As per Economic Survey 2021-22, the maximum growth rate of Per Capita Income at constant prices (2011-12 series) is recorded in the year 2021-22 (8.4% in 1st A.E.). As per a presentation made by the Chief Economic Advisor V. Anantha Nageswaran at a press conference after the tabling of the Economic Survey for 2023-24, the per capita income is currently ₹ 2.12 lakh in 2023-24.

12. The best index of economic income can be provided by-

- (a) increase in national income at current
- (b) increase in per capita real income per year
- (c) increase in savings ration
- (d) improvement in balance of payment position
- (e) None of the above/ more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (b)

For the Economic growth of a country, the most appropriate measure of economic development is per capita output/per capita real income, as it reflects the per capita availability of national income.

13. India is called an underdeveloped country due to its-

1. reasons for the need for planning
2. rapid increase in population
3. over dependence on agriculture
4. improvement in balance of payment position

Choose your answer in the following codes -

- (a) only 1 (b) 1 and 2
(c) 2 and 3 (d) 2, 3 and 4

40th B.P.S.C. (Pre) 1995

Ans. (d)

Due to the rapid growth rate of India's population, the absolute population (due to relatively low death rate) is increasing rapidly. As a result, there is an economic burden on the country to maintain the earlier standard of living of the population. While in developed countries less than 10 percent of the working population is engaged in agriculture (except in New Zealand which is an exception), in India about 49 percent of the working population is engaged in agriculture. The contribution of agriculture to the GVA of developed countries was between 1 to 3 percent (except New Zealand), while the contribution of agriculture to GVA in India is about 17.7 percent (in the year 2023-24). Due to industrial backwardness as a result of the slow pace of industrial growth, only about 24.4 percent of the working population in India was employed in industries and the contribution of this sector to GVA is about 27.6 percent (in the year 2023-24).

14. Economic growth in India has been hindered mainly by-

- (a) due to inefficient agricultural system
(b) due to unregulated system
(c) due to Western social attitude
(d) all of the above

41st B.P.S.C. (Pre) 1996

Ans. (d)

The reasons for stalling economic development in India include inefficient agricultural system, irregular industrialization and western social attitudes. The 'demonstration effect' has prevailed in Indian society due to western social acculturation, which has adversely affected savings and investment.

15. Per capita income of a country is obtained from-

- (a) population
(b) national income

(c) both national income and population

(d) None of the above

Ans- (c)

45th B.P.S.C. (Pre) 2001-02

National income of a country (Net National Product at factor cost : NNP_{FC} divided by population per capita income of that country (PCI) is received.

$$\text{Per capita income} = \frac{\text{National Income}}{\text{Population}}$$

16. The latest Per Capita Income at current prices is lowest for the Indian State of :

- (a) Bihar (b) Uttar Pradesh
(c) Odisha (d) Nagaland

(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (a)

As per the Economic Survey 2023-24 of Bihar, the Per Capita Income (NSDP Per Capita) of Bihar at current prices is estimated to be Rs. 59,637 in 2020-21, while the per capital NSDP of Bihar is Rs. 54,111 at current prices in 2022-23. Which is lowest among all States/UTs in India. The Per Capita Income of Goa (**Rs. 596260**) is highest in the country while the per capita income is highest in Sikkim.

17. Which sector of the Indian economy has significant development during the last decade?

- (a) Primary sector (b) Secondary sector
(c) Tertiary sector (d) Mining sector

45th B.P.S.C. (Pre) 2001-02

The contribution of tertiary sector (i.e. service sector) to India's GDP (now GVA) increased from 41.0% in the financial year 1991-92 to 54.7% in the year 2023-24.

18. Which of the following factors could potentially contribute to stagflation in the Indian economy?

1. High inflationary pressures due to increased Government spending
2. Decline in industrial production and sluggish economic growth
3. Decrease in aggregate demand and consumer spending
4. Appreciation of the domestic currency leading to reduction of export competitiveness

Select the correct answer using the codes given below.

- (a) Only 1 and 2 (b) Only 2 and 3
(c) Only 1, 3 and 4 (d) 1, 2, 3 and 4

69th B.P.S.C. (Pre) 2023

Ans. (d)